



nomical offer you can make to your customers without having to justify a large investment in your product or solution.

A four-stage product ecosystem

Let's understand what a four-stage product ecosystem looks like. Once you get this, you will realise that many successful businesses already have it. It may be by design or may have been a result of organic development over time. Nonetheless, this can be quite handy for your sales team.

The low-cost PoC I mentioned earlier is part of stage-2 products and services. In terms of cost, it is more economical compared to the main product or service. At the same time, it helps prospective customers to fully visualise and appreciate your product's role in their own ecosystem.

Once they appreciate that and see the value in moving forward at full scale, your main product or service can take the centre stage. That is the stage-3 discussion. In my experience negotiations are more balanced if stage 2 has happened properly. Both sides understand each other better that way.

After the main product or service is in the works, complementary services and products make more sense. They provide more cross-sell opportunities that fit well with stage-3 offerings.

One of my mentors said to me once, "Knowing a point of breakthrough or being able to make it is critical for a sales consultant." And I think having a product ecosystem designed this way is the key to that breakthrough.

Free stuff

I'd say it upfront—not every company needs to offer free samples. You need to decide the merit of having the PoC in your product portfolio. But some products and services are way too costly, especially in the B2B scenario. Their free samples make little sense.

There is hardly anything you can provide as free sample in such cases. However, thinking creatively and making something useful happen for your customers, at no cost to them, can still be valuable.

Especially for startups and small businesses, free samples can help achieve some breakthroughs in the early stages of their sales process. In the past, we have seen many design houses and semiconductor salespeople offer free development boards. Those boards were quite helpful in getting to understand their main product—the specific microcontroller or chipset they would sell.

Should you have a free sample or giveaway policy and product or service to offer? I am suggesting so, yes, but be careful about what you offer and how.

How product ecosystem can help

Free samples are good tools for building a customer base and driving the adoption of new products or services. However, be careful in considering the value and cost of such a free item. Ensure that it aligns with the overall goals and strategy of the business. The product ecosystem approach has several benefits, including the following:

Attracting price-sensitive customers. A low-cost product or service usually becomes an attractive option for price-sensitive customers. It doesn't have to be cheap though.

Building a customer base. Free samples, giveaways, and sometimes low-cost PoC help attract new customers and build a customer base. These introduce customers to your main products and services and encourage them to try your main offerings.

Achieving broader market reach. Sometimes, your main product or service can be limited to expanding market reach due to costs or the vastness of the offer. Stage 1 and

stage 2 products allow you to expand that reach and target new market segments that may not be willing to pay full price without testing the products first.

Increasing customer loyalty. By providing a range of complementary products and services in stage 4, you can create a more complete and satisfying experience. That increases the likelihood of customers staying with you longer and doing more business with you, happily, as they see the value and range of your offers.

Increasing the number of revenue streams. When you have more products to offer, additional revenue sources open up. When more customers get attracted due to smoother entry into your product ecosystem, you end up creating additional value for everyone.

The point is, in my experience, the development of a product ecosystem has the power to be effective for startups to create a more complete and satisfying experience. To generate additional revenue streams and differentiate in the market, it is important to develop this ecosystem.

The first step to do that is to assess what you are offering today and where it fits in the four-stage product ecosystem explained here. From there, it is a straightforward journey—to develop things that are missing.

Now to the point about MVP. Gone are the days when minimum viability was an issue. In most cases, it is not anymore. Instead, let's give a new definition to MVP; let it be a minimum valuable product - a product that costs minimum but is still valuable to customers to place in their ecosystem without hesitation.

Think about this—'minimum viable' is your perspective, it focuses on you. But 'minimum valuable' is your customers' perspective, it focuses on them. And I know, you already know which perspective is better. Don't you? **EFY**